Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2021
Question: Tax Strategy and Governance
Include Modeled Scores : Yes

Tax Strategy and Governance

Question

Does the company have a group-wide commitment on tax strategy and governance and is it available publicly?

Rationale

Tax avoidance strategies are usually set up in a legally sound way. Therefore, general statements about a company's intention to comply with all tax laws and regulations in its countries of operation are not sufficient. Every company should be able to give a coherent justification of their approach to key tax issues such as the use of tax minimization techniques in line with their approach to other CSR issues.

The adoption of a formal tax policy serves to guide company practices and provide investors, regulators and other external stakeholders with an idea of the company's tax risk profile, against which practices and disclosures can be compared. An effective policy should be overseen by the board of directors, created in conjunction with relevant senior management, and regularly reviewed to ensure emerging risks are addressed.

This question seeks to determine if there is a group-wide tax policy or strategy available in the public domain that addresses sensitive or high-risk tax issues in a clear and sustainable way.

Performance Summary	
Question Level Company Performance	0
Question Weight	50
Year-on-Year Change	0
Industry Average Score	8
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

▼ Additional Question Guidance & Information Display

Key Definitions

Tax avoidance: Tax avoidance is an abuse of the tax system, a deliberate attempt to get out of an obligation to pay tax by entering into a set of artificial financial arrangements which have little or no commercial purpose other than the reduction of a tax bill. Tax avoidance is unethical in that it seeks to undermine tax law and public policy and it is frequently found to be unlawful. Tax avoidance can be within the letter, but not the spirit, of the law. (Source: TaxWatch)

The spirit of the tax laws: This refers to the intention of the policy maker who wrote the respective law.

The letter of the law: This refers to the literal interpretation of the law only.

Low tax jurisdiction: For the purpose of this question, low tax jurisdiction refers to any jurisdiction with significantly lower tax rates than other jurisdictions in which the company operates.

The arm's length principle: This valuation principle is commonly applied to commercial and financial transactions between related companies. It says that transactions should be valued as if they had been carried out between unrelated parties, each acting in their own best interest.

Tax havens: (Offshore) countries or jurisdictions offering little or no tax liability. Tax havens may only share limited or no financial information with foreign tax authorities and may not require businesses to operate out their country to receive tax benefits.

The board of directors: For the purpose of this question, this can refer to the board of directors, its sub-committees, or a single named director. The tax policy must be approved or signed by the respective board representative(s), and /or clearly state their involvement in the creation of the tax policy. General statements regarding the responsibilities of the board of directors or regular reporting to the board are not enough.

Data Requirements

While many companies have group-wide tax accounting policies with clearly defined roles and responsibilities within the organization in place, we specifically look for taxation policies that address issues such as responsible taxation, transparency, transfer pricing, etc., going beyond minimum legal tax disclosure requirements.

References

GRI Standard 207-1, 207-2 are relevant for this question.

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company has a publicly available tax policy/principles/strategy in place	Not known - not measured
Company has a publicly available tax policy/principles/strategy in place which indicates its approach towards taxation	Not available
Commitment to compliance with the tax laws and regulations in the countries in which the company operates	Not known - not measured
Commitment not to transfer value created to low tax jurisdictions	Not known - not measured
Covers the use of tax structures intended for tax avoidance	Not known - not measured
Covers the company's approach to transfer pricing	Not known - not measured
Covers the use of secrecy jurisdictions or so-called "tax havens"	Not known - not measured
An approval process of the tax policy by the board of directors	Not known - not measured

Questionnaire

Does your company have a **publicly available** and group-wide tax policy, strategy or principles in place which indicate your approach towards taxation?

1. Yes, we have a publicly available, group-wide tax policy covering the following elements. Please provide the relevant web link:

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1. ☐ A commitment to compliance with the spirit as well as the letter of the tax laws and regulations in the countries in which the company operates
2. ☐ A commitment not to transfer value created to low tax jurisdictions
3. ☐ A commitment not to use tax structures without commercial substance
4. ☐ A commitment to undertake transfer pricing using the arm's length principle
5. ☐ A commitment not to use secrecy jurisdictions or so-called "tax havens" for tax avoidance
6. ☐ An approval process of the tax policy by the board of directors

2. ◉ No, we do not have a publicly available group-wide tax policy.
3. ○ Not applicable. Please provide explanations in the comment box below.
4. ○ Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.